Econ0007: Quiz 2(non-assessed)

You have 30 minutes to complete this quiz during your tutorial. The quiz is divided into two parts: Part A: Multiple-Choice Questions and Part B: Short-Answer Questions. You must submit all your answers on **one single A4 sheet of paper**.

Please write your **full name**, **student number**, **email address** and **tutorial day and time** at the top of your sheet.

This quiz is formative, and the marks ***do not*** count towards your overall grade. This is a closed-book exercise, designed to simulate exam conditions. So you should not use your mobile phones, computers, or textbook**.**

Part A: Multiple-Choice Questions

There are 10 questions in this section. You will receive **2 marks** for each correct answer. **1 mark** will be deducted for each incorrect answer. If you do not attempt a question, you will receive **0 marks** for that question.

A1. Which of the following options is among the factors that determines trade specialisation according to the Heckscher Ohlin Model?

A. Differences in production experience
B. Differences in real interest rates
C. None of the above

Feedback:

B is correct because real interest rate represents the price of physical capital across countries (one of the factor endowments).

A is wrong because HO assumes the same access to technology (i.e. production experience) across countries.

A2. Which of these statements is correct?

A. Under free trade, Heckscher Ohlin model predicts a fall in global income inequality in the long term
B. Under free trade, Heckscher Ohlin model predicts a rise in global income inequality in the long-term
C. None of the above

Feedback: As mentioned in the live lecture, HO model predicts income per capita convergence across countries in the long-term, which suggest a fall in global income inequality.

A3. Which of these statements is correct?

A. Under free trade, Heckscher-Ohlin model predicts a rise in income inequality within rich countries
B. Under free trade, Heckscher-Ohlin model predicts a rise in income inequality within developing countries
C. None of the above

A is correct because, according to HO, labour share of income will decline in rich countries after trade liberalisation and this translates into a rise in income inequality. The model predicts the opposite for developing countries.

A4. Which of these options are among the losers of trade liberalisation, according to the Heckscher Ohlin model?

A. Computer programmer in Ethiopia
B. Unskilled shoe producers in Ethiopia
C. None of the above

Feedback: According HO model, trade liberalisation makes owners of human capital (and physical capital) worse-off in developing countries. This is because knowledge-intensive industries (and capital-intensive industries) in Ethiopia get outcompeted by superior companies in rich countries after trade liberalisation.

A5. Which of these options are among the winners of trade liberalisation, according to the New Trade Theory?

A. Bondholders in Germany
B. Unskilled workers in Germany
C. None of the above

Feedback: As mentioned in the live lecture, New Trade Theory does not offer any insight on the distributional consequences of trade liberalisation for factors of production.

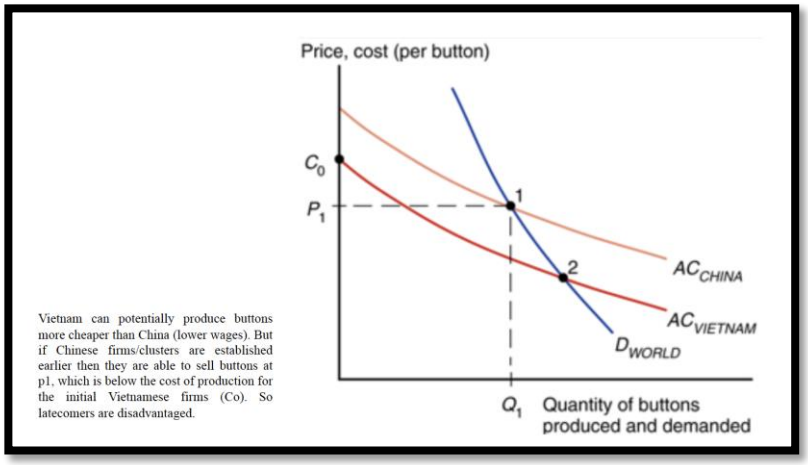
A6. Which of these statements is correct?

A. New Trade Theory is able to explain the concentration of trade in just few regions
B. New Trade Theory is able to explain inter-industry trade
C. None of the above

A7. Which of these statements is correct?

A. New Trade Theory assumes downward supply curves for firms.
B. New Trade Theory assumes homogenous production technology across countries.
C. None of the above

Feedback: A is correct because in the world of economies of scale, firms have downward supply curves (costs get lower with more production). See the below graph for instance.



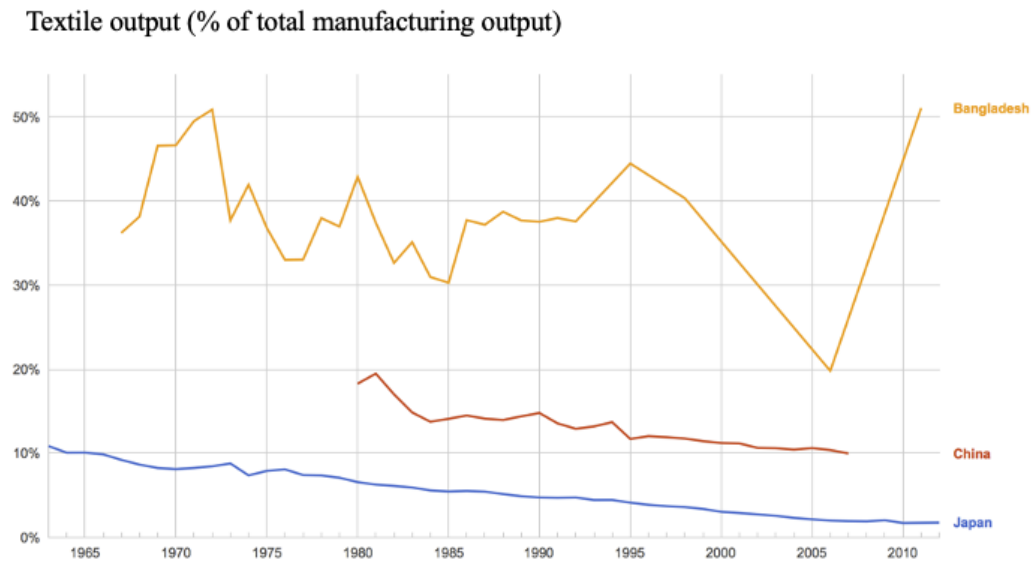
A8. Which of these options are among the assumptions of Heckscher-Ohlin model?

A. Composition of the consumption basket is the same in the two countries
B. Constant return to capital
C. None of the above

Feedback: This alludes to tastes being the same across countries.

A9. Based on the shown figure, which of these statements is correct?

A. The data for China is consistent with New Trade Theory.
B. The data for Japan is consistent with Heckscher-Ohlin model.
C. None of the above.

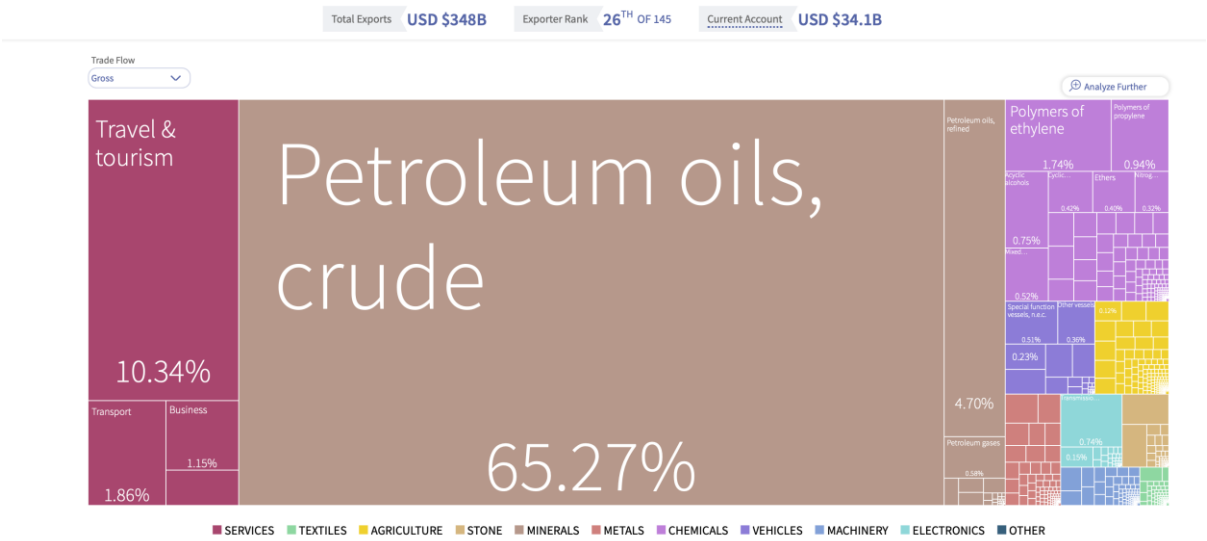


Source: World Bank Development Indicators.

HO model predicts that Japan would move away from production of textile (labour-intensive industry) in the long-term.

A10. You can find the data on Saudi Arabia's export basket here. Based on that data, which of these options is correct?

A. Saudi Arabia's export basket is consistent with Heckscher-Ohlin model.
B. Saudi Arabia's export basked is highly diversified.
C. None of the above.



Feedback: A is correct because Saudi Arabia is richly endowed with oil and is highly specialised on export of that product. The country's export basket is *not* diversified at all, which is consistent with HO model. According to this model, export specialisation (rather than export diversification) is the key for becoming rich.

Part B: Short questions.

You must answer **one** of the following questions. Do not exceed one side of an A4 sheet of paper.

1. Is the below graph consistent with the predictions of Heckscher-Ohlin Model? Explain.

The Economist

The declining share of labour income in the US is consistent with the predictions of the H-O model. According to this model, owners of physical and human capital would win from trade and owners of unskilled labour would lose. *And* since the unskilled labour usually constitute the majority of labour in any country, labour's share of income would drop in rich countries as a result of trade.

There are some additional complications to this story, for instance wages of CEOs are also included in the labour income. Nevertheless, focusing on the big picture, H-O model seems to explain *part* of the fall in labour income shares in rich countries.

2. Can New Trade Theory help us predict the pattern of horizontal intra-industry trade among countries? Explain.

As discussed in the lecture, New Trade Theory shows that a small initial take-off in an industry can generate cumulative learning and economies of scale in that industry and result in self-reinforcing success. Thus, according to this theory, historical accidents (for instance, having a clever entrepreneur at a certain point in time) can play a major role in determining trade specialisation in countries. This means that patters of horizontal intra-industry trade across countries would be unpredictable ex-ante.

This is also the explanation provided by Krugman & Obsfeld (p1380):

The pattern of intra-industry trade itself is unpredictable. We have not said anything about which country produces which goods within the manufactures sector because there is nothing in the model to tell us. All we know is that the countries will produce different products.

Since history and accident determine the details of the trade pattern, an unpredictable component of the trade pattern is an inevitable feature of a world where economies of scale are important.